

Nature and Significance of Management

Successful organizations achieve their goals not by chance, but by following a deliberate process called 'management'.

Definitions of Management

- Harold Koontz and Heinz Weihrich: "Management is the process of designing and maintaining an environment in which individuals, working together in groups, efficiently accomplish selected aims."
- Robert L. Trewelly and M. Gene Newport: "Management is defined as the process of planning, organizing, actuating and controlling an organization's operations in order to achieve coordination of the human and material resources essential in the effective and efficient attainment of objectives."
- Kreitner: "Management is the process of working with and through others to effectively achieve organizational objectives by efficiently using limited resources in the changing environment."

Concept: Management aims at guiding efforts towards a common objective, ensuring tasks are completed and goals achieved (effectiveness) with minimum resources (efficiency). It's a process of getting things done effectively and efficiently.

- Effectiveness: Doing the right task, completing activities, and achieving goals. Concerned with the end result.
- Efficiency: Doing the task correctly with minimum cost. Involves cost-benefit analysis and input-output relationship.

Characteristics of Management

Goal-Oriented Process

An organization has specific basic goals. Management unites individual efforts to achieve these goals.

All-Pervasive

The activities involved in managing an enterprise are common to all organizations (economic, social, political).

Multidimensional

Management is a complex activity with three main dimensions:

1. Management of Work: Translates work into goals to be achieved and assigns means.
2. Management of People: "Getting work done through people." Involves dealing with employees as individuals (diverse needs, behavior) and as a group. Task is to make people work towards organizational goals.
3. Management of Operations: Providing basic product or service to survive, requiring production processes.

Group Activity

An organization consists of diverse individuals with different needs. Management fosters teamwork and coordination to achieve common organizational goals.

Continuous Process

Management is a series of continuous, composite, but separate functions: planning, organizing, directing, staffing, and controlling.

Dynamic Function

Management adapts to the changing environment, interacting with external social, economic, and political factors. It helps organizations change to maintain a competitive edge.

Intangible Force

Management cannot be seen but its presence can be felt in the way the organization functions.

Objectives of Management

Organisational Objectives

Achieving a variety of objectives considering the interests of all stakeholders (shareholders, employees, customers, government).

- Survival: Basic objective for any business.
- Profit: Essential for continued successful operation and a vital incentive.
- Growth: Important for long-term prospects and to remain in the industry.

Social Objectives

Creating benefit for society, such as using eco-friendly production methods, providing employment opportunities for underprivileged sections, and basic amenities (schools, healthcare).

Personal Objectives

Satisfying diverse employee needs (financial, social, personal growth, development) through competitive salaries, peer recognition, etc.

Importance of Management

Achieving Group Goals

Management provides a common direction to individual efforts to achieve overall organizational goals.

Increasing Efficiency

Aims to reduce costs and increase productivity through better planning, organizing, directing, staffing, and controlling.

Creating Dynamic Organization

Manages change, helping people adapt so the organization maintains its competitive edge.

Achieving Personal Objectives

Managers motivate individuals to achieve personal goals while contributing to organizational objectives.

Development of Society

Helps in the development of the organization and society by providing good quality products, creating employment, and utilizing technology for the greater good.

Management as an Art

Existence of Theoretical Knowledge

Art presupposes knowledge. Experts derive basic principles applicable to their art.

Personalised Application

The use of basic knowledge varies from individual to individual.

Based on Practice and Creativity

Art is practical and involves creative practice of existing theoretical knowledge.

Management as a Science

Systematised Body of Knowledge

Its principles are based on a cause-and-effect relationship.

Principles Based on Experimentation

Scientific principles are developed through observation and tested via repeated experimentation.

Universal Validity

Scientific principles have universal validity and application.

Management as a Profession

Well-Defined Body of Knowledge

All professions are based on a well-defined body of knowledge.

Restricted Entry

Professions often have specific requirements for entry.

Professional Association

Professions are affiliated with professional associations.

Ethical Code of Conduct

Professions adhere to a code of conduct. Management does not fully meet this criterion.

Service Motive

The basic motive of a profession is to serve clients' interests with dedication.

Levels of Management

Top Management

Consists of senior-most executives. Basic task is to integrate diverse elements and coordinate activities of different departments.

Middle Management

The link between top and lower-level managers. Subordinate to top management.

Supervisory or Operational Management

Foremen and supervisors comprise the lower level in the hierarchy.

Coordination - The Essence of Management

Coordination links diverse groups towards a common goal.

Characteristics of Coordination

Integrates Group Efforts

Coordination unifies diverse efforts.

Ensures Unity of Action

The purpose of coordination is to ensure unity.

Continuous Process

Coordination is not a one-time activity.

All-Pervasive Function

Coordination is required throughout the organization.

Responsibility of All Managers

Coordination is the responsibility of all managers.

Deliberate Function

A manager has to consciously coordinate activities.